First Impressions: NZ labour market surveys, September quarter 2026

#labour #newzealand



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The unemployment rate rose to 5.7% in the September quarter, against expectations for a small decline. Spare capacity in the labour market is keeping wage pressures subdued.



Unemployment rate: 5.7% (prev: 5.6%, Westpac: 5.5%, RBNZ: 5.5%, mkt: 5.5%)

Employment change: -0.1% (prev: +0.3%, Westpac: +0.5%, RBNZ: +0.3%, mkt: +0.4%)

Participation rate: 70.4% (prev: 70.6%, Westpac: 70.8%, RBNZ: 70.6%, mkt: 70.7%)

Labour costs (private sector): +0.5% (prev: +0.7%, Westpac: +0.5%, RBNZ: +0.4%, mkt: +0.5%)

The September quarter surveys pointed to ongoing softness in New Zealand's labour market. The unemployment rate rose from 5.6% to 5.7%, continuing an almost five-year run of increases. Employment was softer than expected, and wage growth remains subdued despite increasing cost-of-living pressures.

The Household Labour Force Survey (HLFS) showed a surprise 0.1% fall in employment in the September quarter, after a downwardly revised 0.3% increase in the June quarter. That went against the Monthly Employment Indicator (MEI) measure of filled jobs, which had suggested some upward momentum emerging in the jobs market (and notably, the HLFS measure had outpaced the MEI for the previous nine quarters). It was also softer than suggested by the business-focused Quarterly Employment Survey (QES), which recorded a 0.2% rise in full-time equivalent employees, a 0.1% rise in filled jobs and a 0.6% rise in hours paid.

The fall in HLFS employment was accompanied by a fall in labour force participation rate, from 70.6% to 70.4%. These co-movements are effectively a reversal of the surprisingly large increases that we saw in the June quarter, which we noted at the time were indicative of sampling error in the survey.

This is why we generally recommend focusing on the unemployment rate, as it's less vulnerable to sampling error. And in that respect, the message on the jobs market remains weak: to the extent that employment may be rising, it's still not fast enough to absorb the growth in the population (which is itself a fairly low bar, as net migration remains at a relatively low ebb).

The HLFS also recorded a sharp 1.6% fall in hours worked (although usual hours worked were down just 0.4%). This seems to have been influenced by Matariki – a floating holiday that was only introduced a few years ago, so will not be picked up by the seasonal adjustment. This may have also been responsible for a marked shift from full-time to part-time employment, as some people may have been pushed into the part-time category simply by virtue of only working four days during the survey week.

The Labour Cost Index (LCI) rose by 0.5% in the September quarter, in line with our expectations overall but a bit weaker in the details – private sector wages were up by 0.5%, while there was a surprisingly large 0.7% increase in public sector wages. There was a notable jump in the number of employers citing cost-of-living adjustments as a reason for increasing pay rates, although the size of those increases varied a great deal, with many substantially less than the headline inflation rate.

Overall, we think the details are soft from the RBNZ's perspective – an important consideration ahead of the 9 December Monetary Policy Statement, as there are few other major data releases between now and then. The unemployment rate is a more reliable signal than the employment measures, and the ongoing rise in unemployment points to more slack in the labour market than the RBNZ was hoping to see in an economy that has been growing for over a year now. The doves on the policy committee will be encouraged in their view that there is limited scope for headline inflation shocks to pass through into second-round effects.

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